



Representative Amy Walen
Chair, Consumer Protection & Business
Committee
437B Legislative Building
PO Box 40600
Olympia, WA 98504

Representative Kristine Reeves
Vice Chair, Consumer Protection & Business
Committee
132E Legislative Building
PO Box 40600
Olympia, WA 98504

Representative Shelley Kloba
132A Legislative Building
PO Box 40600
Olympia, WA 98504

RE: Washington HB 2277 – Oppose

Dear Chair Walen, Vice Chair Reeves, and Representative Kloba:

On behalf of the advertising industry, we oppose Washington HB 2277.¹ We write to express our non-exhaustive list of concerns about this legislation. If enacted, HB 2277 would create the most wide-reaching data broker registration requirement in the United States, standing in stark contrast to every other state that has passed similar legislation.² We ask the House Consumer Protection & Business Committee to decline to advance the bill at this time.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

I. Washington should seek to harmonize its data privacy laws with other states and should not address privacy matters in a piecemeal fashion.

Fourteen states have passed comprehensive privacy laws to date, and Washington's proposed approach resembles none of those existing state models. Just last year, Washington passed a law regulating consumer health data,⁴ and now the legislature is seeking to pass a data broker registration law, another proposal that would limit use of transaction data collected at the point of sale,⁵ and various other data-related legislation that would regulate privacy in a piecemeal fashion rather than

¹ Washington HB 2277 (Reg. Sess. 2023-2024), located [here](#) (hereinafter, "HB 2277")

² See, e.g., Cal. Civ. Code §§ 1798.99.80 – 89; Tex. Bus. & Com. Code §§ 509.001 – 010; Oregon HB 2052 (2023 Reg. Sess.); Vt. Stat. Ann. tit. 9, § 2430.

³ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#) (hereinafter, "Deighton and Kornfeld").

⁴ Washington HB 1155 (2023-2024 Reg. Sess.), located [here](#).

⁵ Washington HB 2149 (2023-2024 Reg. Sess.), located [here](#).

setting comprehensive protections for consumers and clear standards for businesses. Instead of passing laws regulating discrete data types or entities in the marketplace, Washington should work to advance a comprehensive approach to privacy that harmonizes with the approach of other states. Disharmony across state privacy standards can generate billions of dollars in costs associated with compliance and significant consumer confusion. Washington should not add further divergence to state privacy standards by advancing HB 2277.

II. HB 2277’s definition of “data broker” is extremely broad and would capture virtually every company doing business in Washington state.

The bill would define “data broker” to include any entity that engages in the act of collecting, aggregating, analyzing, buying, selling, and sharing brokered personal data, irrespective of the business entity’s relationship with the resident individual whose data is being brokered.⁶ This definition is so broad that it would require every single entity that does business in Washington to register as a “data broker” with the Department of Licensing. A registry that includes every business that processes data would be unwieldy and render the list meaningless. No other state that has enacted data broker legislation has defined applicable terms so broadly.

III. HB 2277’s rulemaking authority threatens to make Washington’s approach to data brokers even more of an outlier than it already would be under the bill’s terms.

Permitting a state agency to issue regulations to further expound on the requirements in the bill would lead to more divergence in Washington’s approach to data broker standards rather than unifying standards across the nation. A patchwork of differing standards across the states creates significant costs for businesses and consumers alike. Efforts to harmonize legislation with existing laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. The bill should be updated to remove the department’s regulatory authority to further the goal of maintaining consistency across state data broker registration requirements.

IV. HB 2277 should clarify that it does not permit a private right of action.

As drafted, the bill does not clarify how it will be enforced. While the bill states that the Uniform Regulation of Business and Professions Act would govern the discipline of licensees under its terms, the bill does not explicitly foreclose the possibility of private enforcement. The bill should be updated with language expressly stating it does not create a private right of action.

* * *

We and our members strongly believe consumers deserve meaningful privacy protections supported by reasonable and responsible industry policies. However, we believe HB 2277’s approach would provide ineffective protections for Washingtonians all the while imposing unreasonable new requirements on virtually all Washington businesses. We ask you to decline to advance the bill at this time.

⁶ HB 2277, Sec. 2(4), (5).

Thank you for your consideration of this request.

Sincerely,

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CC: Sponsors of Washington HB 2277